BUSINESS HIGH-Level Assessment Exam #3 (2026-SM1)

PRACTICE TEST A

Covering: Unit 2, LPs 2-1, 2-2, 2-3 and 2-4

STUDENT NAME:_____PERIOD:_____

WRITE HONOR CODE/ STUDENT SIGNATURE BELOW:

_____

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STUDENT SIGNATURE: _____

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1) Equilibrium is defined as: (True/False)
A momentary state or condition where the quantity of a product supplied equals the quantity demanded for the same product.
TRUE FALSE

MATCH the FOLLOWING supply and demand terms:

- Surplus
- Shortage
- Equilibrium Price

2)_____: Quantity supplied exceeds the quantity demanded

3)_____: The actual price where the quantity demanded equals the quantity supplied

4)_____: Quantity demanded exceeds the quantity supplied

5) When the PRICE of an item goes UP:

A) Supply goes down, demand goes up
B) Supply goes up, demand goes down
C) Supply and demand both go up
D) Supply and demand both go down

6) Which of the following is an example of INELASTIC demand?

A) Pepsi
B) McDonald's
C) Gasoline
D) Isabella's bracelets

7) TRUE / FALSE _____ Elastic demand means there is a large change in demand when an economic factor, like price, changes.

8) TRUE / FALSE _____ Inelastic demand means there is a large change in demand when the price changes.

9) TRUE / FALSE _____ Capitalism is driven by the "profit motive."

MATCH the FOLLOWING:

- Buyer's Market
- Seller's Market

10)_____: Sellers have the advantage in price negotiations, usually due to excess demand versus supply (shortage)

11)_____: Buyers have the advantage in price negotiations, usually due to excess supply versus demand (surplus)

12) What are the 3 questions ALL societies must answer?

A) Who, when, where
B) What, how, for whom
C) Why, how much, when
D) What, where, why

*** MATCH the FOLLOWING economic concepts:**

- Trade-Off
- Opportunity Cost
- Scarcity

13)_____: The choice (compromise) between two things that can't be had or done at the same time

14)_____: The loss of potential gain from other alternatives when one alternative is chosen

15)_____: People's wants always exceed the resources available to fulfill those wants

16) TRUE / FALSE _____ Microeconomics is the study of the economy as a whole.

17) Which of the following is a MACROECONOMICS topic?

A) A coffee shop setting its prices
B) A family's monthly budget
C) Inflation across the country
D) Nike pricing one new shoe

18) TRUE / FALSE _____ An economic need is "beyond a desire," like food, shelter, and clothing.

MATCH the FOLLOWING:

- Economic Good
- Economic Service
- Noneconomic Want

19)_____: Tangible, has utility, scarce, transferable (timber, coal, iron ore)

20)_____: Intangible, has utility, scarce, transferable (haircut, plumbing, streaming)

21)_____: A desire that does not cost money (talking to a friend)

22) The END USER is either the ultimate consumer or the:

A) Retailer
B) Wholesaler
C) Industrial user
D) Producer

*** MATCH the FOLLOWING consumer products:**

- Convenience
- Shopping
- Specialty
- Unsought

23)_____: Easy to find and buy: milk, coffee, bread

24)_____: Cost more, bought occasionally, compared for best quality at best price: refrigerator, washer

25)_____: Unique items buyers spend a lot of time looking for: antiques, tickets to special events

26)_____: Items people don't plan on needing: roof repair, pest control

27) TRUE / FALSE _____ GDP measures the number of items sold, not their dollar value.

28) Which of the following is NOT one of the 4 GDP categories?

A) Private consumer spending
B) Private domestic investment
C) Government spending and investment
D) Transfer payments

29) TRUE / FALSE _____ A trade surplus is when a country's exports exceed its imports.

30) Per capita GDP is calculated as:

A) GDP x population
B) Population / GDP
C) Country's GDP / population
D) Exports - imports

31) TRUE / FALSE _____ Healthy GDP growth is expected to be 2-3% yearly.

32) Which of the following are DURABLE goods?

A) Coffee and shampoo
B) Cars and smartphones
C) Fast food
D) Deodorant

33) TRUE / FALSE _____ The Fed (the U.S. central bank) adjusts interest rates to manipulate inflation.

SCENARIO ANALYSIS: Evaluate the situation, then create a solution/resolve.

SCENARIO 1: Isabella's Bracelets

Isabella makes 100 new bracelets and posts them for sale on her web store for $20.00. A few weeks go by and she has only sold 7.

34) EVALUATE: Does Isabella have a surplus or a shortage? Is it a buyer's market or a seller's market? **(2 points)**

35) CREATE A SOLUTION: What should Isabella do with her price, and what happens to supply and demand when she does? **(3 points)**

SCENARIO 2: Country X

Country X has a GDP of $2 trillion and a population of 50 million people. Its GDP grew 1% this year and 1% last year.

36) EVALUATE: Find Country X's per capita GDP. Is its GDP growth healthy? (Show your work.) **(3 points)**

37) RESOLVE: Name two ways Country X can grow its GDP. **(2 points)**

SCENARIO 3: The AP exam

You have an important AP exam on Monday. Your friends invite you to a movie Sunday morning. You choose to stay home and study.

38) EVALUATE: What is the trade-off, and what is the opportunity cost? **(2 points)**

39) EVALUATE: Is the opportunity cost all bad? Name one thing you gain and one thing you miss. **(2 points)**

SCENARIO 4: Randall's Tool Shop

Randall's Tool Shop sells nails two ways: in bulk to Sarah's Furniture Factory, which uses them to build chairs, and in small packs to a local hardware store, which sells them to shoppers building their own projects.

40) EVALUATE AND RESOLVE: Who is the industrial user, who is the ultimate consumer, and is the hardware store an end user? **(3 points)**

ANSWER KEY: PRACTICE TEST A

Questions 1-33 (multiple choice, matching, true/false) are 1 point each. The scenario analysis, 34-40, is worth 17 points. Total: 50 points.

1) TRUE. That is the definition: supply = demand, the balance point.
2) Surplus. Stock is sitting unsold.
3) Equilibrium Price.
4) Shortage. Buyers are left wanting.
5) B) Supply goes up, demand goes down. Price up: supply up (stock piles up), demand down.
6) C) Gasoline. Gas, cigarettes, salt are inelastic. The other three are elastic.
7) TRUE.
8) FALSE. Inelastic is a small or no change in demand.
9) TRUE.
10) Seller's Market.
11) Buyer's Market.
12) B) What, how, for whom. What should be produced, how should it be produced, for whom.
13) Trade-Off.
14) Opportunity Cost.
15) Scarcity.
16) FALSE. That is macroeconomics (A = all). Micro is individuals and businesses.
17) C) Inflation across the country. The other three are individuals or one business: micro.
18) TRUE.
19) Economic Good.
20) Economic Service.
21) Noneconomic Want.
22) C) Industrial user. End user = ultimate consumer (us) or industrial user (Ford, Apple). Stores resell.
23) Convenience.
24) Shopping.
25) Specialty.
26) Unsought.
27) FALSE. Total market value: dollars, not quantity.
28) D) Transfer payments. The 4 are C, I, G and net exports. Transfer payments aren't counted in GDP at all.
29) TRUE.
30) C) Country's GDP / population. GDP divided by population. Exports - imports is net exports.
31) TRUE.
32) B) Cars and smartphones. Durable goods last a long time (about three years or more).
33) TRUE.

SCENARIO 1: Isabella's Bracelets

34) (2 points) A surplus, so it's a buyer's market.

- 1 point: surplus: the quantity supplied (100) exceeds the quantity demanded (7).
- 1 point: buyer's market: excess supply gives buyers the advantage.

35) (3 points) Lower the price. When price goes down, demand goes up and supply goes down; she sells out and moves toward equilibrium.

- 1 point: lower the price (she dropped it to $14.95 and sold out within a month).
- 1 point: price down: demand goes up.
- 1 point: price down: supply goes down (it sells out), so she needs to make more to keep up.

SCENARIO 2: Country X

36) (3 points) $40,000 per person. Growth is not healthy: 1% two years in a row is below the expected 2-3%.

- 1 point: per capita GDP = country's GDP / population.
- 1 point: $2,000,000,000,000 / 50,000,000 = $40,000 per person.
- 1 point: not healthy: 1% is below the 2-3% growth expected each year.

37) (2 points) Raise productivity (more people working, more output per worker) and grow a category, such as exports, so net exports rise.

- 1 point: raise productivity: more people working or more output per worker (better tools, technology).
- 1 point: raise one of the 4 categories: more exports than imports (trade surplus), more consumer spending, business investment or government spending.

SCENARIO 3: The AP exam

38) (2 points) Trade-off: choosing to study over the movie. Opportunity cost: the movie and the time with friends.

- 1 point: trade-off: the choice, studying instead of going to the movie.
- 1 point: opportunity cost: what you gave up, the movie, time with friends, the fun.

39) (2 points) No. You gain exam prep and save money; you miss the movie and your friends.

- 1 point: gain: better exam prep (AP score, GPA, college credit), and you save the money (ticket, snacks, gas).
- 1 point: miss: the movie, friends, fun. Opportunity cost isn't always negative.

SCENARIO 4: Randall's Tool Shop

40) (3 points) Sarah's factory is the industrial user; the shopper is the ultimate consumer; the hardware store resells, so it isn't an end user.

- 1 point: industrial user: Sarah's Furniture Factory (uses the nails to make other products).
- 1 point: ultimate consumer: the shopper who buys the nails for their own project.
- 1 point: the hardware store is NOT an end user: it resells the nails.